

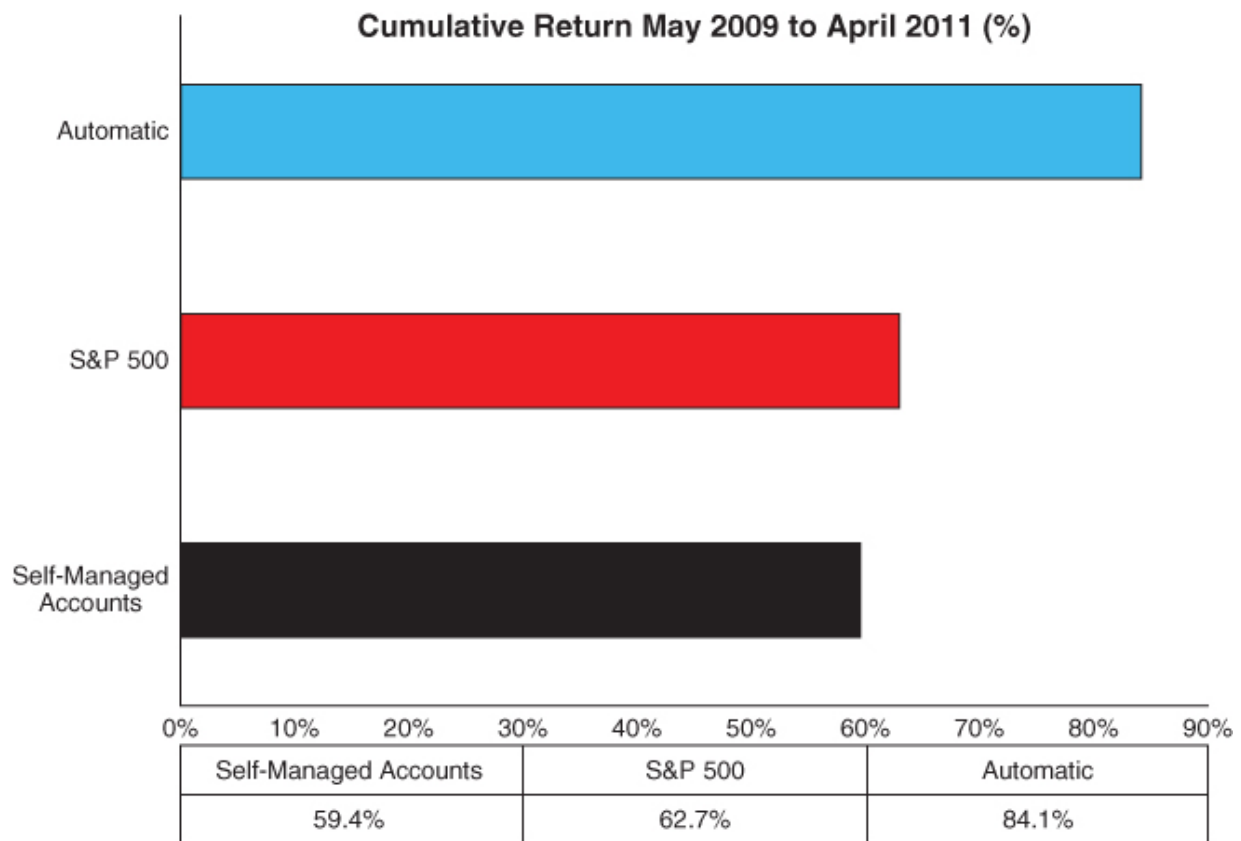


Figure 2.4 Cumulative Return May 2009 to April 2011 (%)

The automatic accounts earned a total return of 84.1 percent, besting the S&P 500 Index's 62.7 percent mark by over 20 percentage points.⁸ The self-managed accounts, which allowed the clients to pick and choose from the model's output at their discretion, earned a respectable 59.4 percent. However, the 59.4 percent figure was worse than the passive benchmark, and much worse than the account performance for the automatic accounts.⁹ The takeaway from this study is similar to the brain impairment research by Leli and Filskov: *Models represent a ceiling on performance, not a floor.*

Why Experts Fail to Beat Models

Daniel Kahneman's magnum opus, *Thinking, Fast and Slow*,¹⁰ describes how human intuition affects our decision-making. The thesis of the book is that humans are driven by two modes of thinking: System 1 and System 2.

- *System 1*: Decisions are instinctual and heuristic-based.